Extract from *Pao On v Lau Yiu Long* [1980] AC 614

Privy Council, on appeal from the Court of Appeal of Hong Kong

Judgement delivered by Lord Scarman:

> An act done before the giving of a promise to make a payment or to confer some other benefit can sometimes be consideration for the promise. The act must have been done at the promisors' request: the parties must have understood that the act was to be remunerated either by a payment or the conferment of some other benefit: and payment, or the conferment of a benefit, must have been legally enforceable had it been promised in advance. All three features are present in this case. The promise given to Fu Chip under the main agreement not to sell the shares for a year was at Lau's request. The parties understood at the time of the main agreement that the restriction on selling must be compensated for by the benefit of a guarantee against a drop in price: and such a guarantee would be legally enforceable. The agreed cancellation of the subsidiary agreement left, as the parties knew, the Paos unprotected in a respect in which at the time of the main agreement all were agreed they should be protected.
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> Mr. Neill's submission is based on *Lampleigh v. Braithwait* (1615) Hobart 105. In that case the judges said at p. 106:
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> > " First, ... a meer voluntary curtesie will not have a consideration to uphold an assumpsit. But if that curtesie were moved by a suit or request of the party that gives the assumpsit, it will bind, for the promise, though it follows, yet it is not naked, but couples itself with the suit before, and the merits of the party procured by that suit, which is the difference ".
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> The modern statement of the law is in the judgment of Bowen LJ. in *In Re Cassey's Patents, Stewart v. Casey* [1892] 1 Ch. 104 at pp. 115-116; Bowen LJ. said:
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> > ". . . Even if it were true, as some scientific students of law believe, that a past service cannot support a future promise, you must look at the document and see if the promise cannot receive a proper effect in some other way. Now, the fact of a past service raises an implication that at the time it was rendered it was to be paid for, and, if it was a service which was to be paid for, when you get in the subsequent document a promise to pay, that promise may be treated either as an admission which evidences or as a positive bargain which fixes the amount of that reasonable remuneration on the faith of which the service was originally rendered. So that here for past services there is ample justification for the promise to give the third share . . .".
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> Conferring a benefit is, of course, an equivalent to payment: see *Chitty on Contracts,* 24th ed., I, paragraph 154.